Wevois Labs Private Limited

Valuation Opinion

Presented by:
Arvind Mohanlal Maheshwari
Registered Valuer

Executive Summary

Arvind Mohanlal Maheshwari ('Valuer') has been mandated by Wevois Labs Private Limited to provide the fair value of diluted equity share as of 31st October, 2024 ("the Valuation Date"). This Valuation Report presents my opinion, supporting analyses and assumptions, along with appropriate exhibits. Additional relevant information and analyses considered in my opinion have been retained in my work files. I understand that this valuation is required by Client for the purpose of issue of Equity Share of the company in accordance with provision of Section 62 and 42 of the Company Act 2013.

In the process of formulating my opinion of value, I held discussions with, and were provided various documents by the Client. The Projected financial data and other records and documents pertaining to the company have been accepted without verification as proper representation of the Client operations and condition.

Fair value is defined for the purpose of this analysis as "the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction".

Summary of fair value of diluted equity share estimated by me is encapsulated in the table below:

INR in Million

Particulars	Value	Weights	Weighted Value
Income Approach			
Discounted Cash Flow Method	2,108.53	100%	2,108.53
Equity Value			**2,108.53**
Total Diluted Equity Shareholder			11,473
Fair Value of Diluted Equity per share (in INR)			**1,83,781.72**

Hence, I have estimated the fair value of diluted equity shares of WLPL to be INR 2,108.53 Million, i.e. per equity share value of INR 1,83,781.72/-.

Executive Summary

For concluding the fair value of diluted equity share, I have considered following points which forms part of my valuation exercise:

1. Valuation can be based on Income Approach, Market Approach and Cost Approach.

2. In the Market Approach, the multiples like P/E multiple, P/B multiple are considered for the estimation of fair value and the stock prices needs to be considered as on the valuation date for the computation of these multiples. The potential comparable companies in the market does not exactly match with the area of operation and market segment of target company. Therefore, market approach has given weightage of **Nil.**

3. Cost Approach has not been considered due to historical data as it only represents the historical cost of the assets and fails to capture the Intrinsic worth of the company. Hence, we assign Zero weightage to Cost Approach.

4. Hence, for the present valuation exercise, I have based my valuation on Discounted Cash Flow Method (DCF) under Income Approach with weightage of 100%.

5. I have given 100% weightage to DCF Method under Income Approach and **NIL** weightage to Market Approach and Cost Approach as it represents income generation ability of an entity which is critical element affecting the value of company.

CONTENT OF THIS REPORT

Glossary of Terms and Abbreviations

Term	Definition
WLPL	Wevois Labs Private Limited
CAPM	Capital Assets Pricing Model
CSRP	Company Specific Risk Premium
DCF	Discounted Cash Flow
CCM	Comparable Companies Method
FCF	Free Cash Flows
FY	Financial Year
Mcap	Market Capitalisation
PE	Price to Earning Multiple
Rf	Risk Free Rate
Rm	Market Risk
TV	Terminal Value
Ke	Cost of Equity Capital
We	Weight of Equity Capital
SFAS:	Statement of Financial Accounting Standards
NFCF:	Net Free Cash Flows
IAS:	International Accounting Standard
IFRS:	International Financial Reporting Standards
IVSC:	International Valuation Standards Committee

Terms of Reference

Scope, Limitations and Sources of Information

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Scope of work

Valuer will, as requested by WLPL, conduct an independent valuation of WLPL as on valuation date, i.e. 31st October, 2024 for the purpose of proposed issue of Equity Share of the company in accordance with provision of Section 62 and 42 of the Company Act 2013. The valuation will be performed based on the valuation methods that valuer finds most appropriate.

This report and information contained herein are absolutely confidential and are intended for the use of Board of Directors of WLPL for providing selected information and only in connection with the purpose set out in the report as aforesaid. It should not be copied, disclosed, circulated, quoted or referred to, either in whole or in part, in correspondence or in discussion with any other person except to whom it is issued without my written consent.

In event, WLPL or its Board of Directors or its auditors extend the use of the report beyond the purpose mentioned earlier in this report, with or without my consent, I will not accept any responsibility to any other party to whom this report may be shown or may acquire a copy of this report.

Sources of Information

The key information I have received and used in my value analysis include:

1. Audited Balance Sheet as on 31.03.2024.
2. Provisional Financial statement as on 31.10.2024.
3. Business plan along with the underlying assumptions as prepared by the management over the period ended 31st March 2025 to 31st March 2029 (“Projected Period” or “Forecast Period”), which the Management believes to be their best estimate of the expected future operating results;
4. Latest Shareholding pattern as on Valuation date.
5. Other information provided by the Management.
6. In addition, we have obtained information through discussion and correspondence with the Management.
7. We have also undertaken analysis of other facts and data considered pertinent to this value analysis.

Other Content of Valuation Report

- **Purpose of Valuation**
  - To issue of Equity Share of the company in accordance with provision of Section 62 and 42 of the Company Act 2013.

- **Appointing Authority**
  - Board of Directors of Wevois Labs Private Limited
  - CIN : U74999RJ2018PTC063218

- **Disclosure of valuer interest or conflict, if any;**
  - Nil

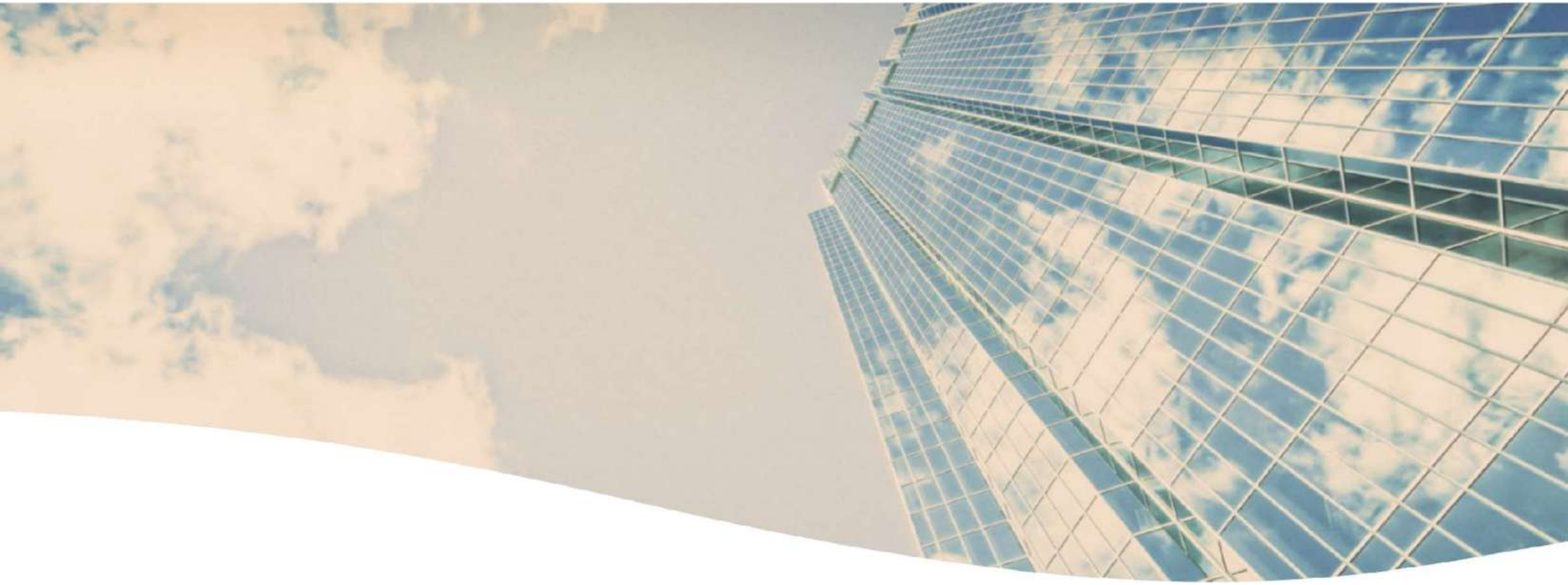
- **Caveat/ Limitation and Disclaimer**
  - Refer Appendix – B

- **Valuation Base and Premise of Value**
  - For the purpose of arriving at valuation of the shares of companies the Fair Value Base has been considered. The valuation is based on the premise of going concern value. Any change in valuation base or premise could have significant impact on valuation exercise and therefore this report.

- **Date of appointment, valuation date and date of report;**

Appointment Letter Date	11.11.2024
Valuation Date	31.10.2024
Original Valuation Report Date	30.11.2024

- **Identity of the valuer and any other experts involved in the valuation;**
  - **Arvind Mohanlal Maheshwari**
    IBBI Registered Valuer (SFA)
    Reg No – IBBI/RV/14/2024/15697



About the Company

Wevois Labs Private Limited

Company Overview

Wevois Labs Private Limited

Wevois Labs Private Limited is a Private Limited company, incorporated on 06th December 2018. The registered office of the company is situated at 293, Heera nagar - A, Jaipur, Rajasthan – 302 201.

WeVOIS Labs Pvt Ltd, a solid waste management company is here to make dream come true for a greener and cleaner tomorrow. The Company will take it from here. The Company are here with a promise to deliver! With a vision of circular economy. WeVOIS is here to provide with eco-friendly waste management solutions and superior services and to make sure that trash is collected on time. The complete automated IoT- based door to door waste collection solution is designed to improve efficient waste collection of the city all the while making our environment greener and communities cleaner. At WeVOIS work hard and skillfully day and night so that you can wake up to a greener and cleaner surrounding every morning with your favorite cup of coffee.

The Board of Directors of the Company as follow:-

1. Abhinav Shekhar Vashistha,
2. Abhishek Gupta

CIN	U74999RJ2018PTC063218
Company Name	WEVOIS LABS PRIVATE LIMITED
ROC Name	ROC Jaipur
Registration Number	063218
Date of Incorporation	06/12/2018
Email Id	guptavjabhi@gmail.com
Registered Address	293, Heera Nagar - A, Jaipur, Rajasthan, 302021
Category of Company	Company limited by shares
Subcategory of the Company	Non-government company
Class of Company	Private
Authorised Capital (Rs)	2,00,000
Paid up Capital (Rs)	1,14,730
Company Status	Active

Industry Overview

Industry Overview

India Waste Management Market Overview:

India Waste Management Market Size was valued at USD 12.3 Billion in 2022. The Waste Management market industry is projected to grow from USD 13.1 Billion in 2023 to USD 21.7 Billion by 2032, exhibiting a compound annual growth rate (CAGR) of 6.50% during the forecast period (2024 - 2032). Increasing environmental awareness and a growing demand for effective waste management solutions are the main market drivers anticipated to propel the Waste Management market in India.

Waste Management Market Trends

- **Increasing environmental awareness in India is driving market growth**

Increasing environmental awareness in India is driving the waste management market by fostering a greater sense of responsibility toward sustainable practices. As people become more conscious of the environmental impact of waste, there is a growing demand for effective waste management solutions. This awareness is prompting individuals, businesses, and policymakers to prioritize recycling, waste reduction, and proper disposal. Consequently, there is an increasing adoption of advanced waste management technologies and practices that minimize environmental harm. This shift in mindset is not only influencing consumer behavior but also shaping government policies and industry practices, driving investment and innovation in the waste management sector. Overall, increasing environmental awareness is a key driver for the growth of the waste management market in India.

To address this challenge, there is a heightened focus on implementing efficient waste collection, segregation, recycling, and disposal systems. Additionally, urban planning initiatives increasingly prioritize integrated waste management solutions to mitigate environmental pollution and public health risks. Consequently, the demand for waste management services and solutions escalates in response to the rapid pace of urban and industrial development in India.

Industry Overview

Waste Management Market Segment Insights:

- **Waste Management Waste Type Insights**

The India Waste Management market segmentation, based on Waste Type, includes Industrial Waste, Municipal Solid Waste, Hazardous Waste, E-waste, Plastic Waste and Bio-medical Waste. The Industrial Waste segment dominated the market mostly. Industrial waste captures the largest market share in India's waste management market due to the country's rapidly growing industrial sector. With diverse industries such as manufacturing, chemicals, textiles, and electronics, a substantial volume of industrial waste is generated. This waste often contains hazardous materials, necessitating specialized handling and treatment processes. As a result, there is a high demand for tailored industrial waste management solutions, including recycling, treatment, and disposal services, driving the market share for this waste type.

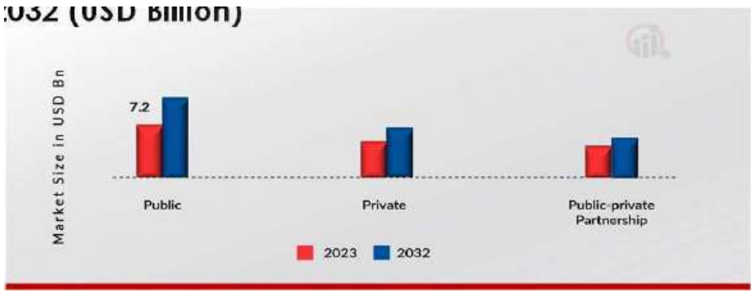
- **Waste Management Disposal Methods Insights**

The India Waste Management market segmentation, based on Disposal Methods, includes Landfill, Incineration, Dismantling and Recycling. The Landfill category generated the most income. Landfill disposal methods have captured the largest market share in India's waste management market primarily due to their cost-effectiveness and simplicity. With limited infrastructure for advanced waste treatment and recycling, landfilling remains the most widely used disposal method for municipal solid waste and industrial waste. Additionally, the lack of stringent regulations and enforcement regarding waste management practices further perpetuates the dominance of landfilling. However, there is an increasing shift towards more sustainable waste management practices driven by environmental concerns and regulatory changes.

Waste Management Type of Ownership Insights

The India Waste Management market segmentation, based on Type of Ownership, includes Public, Private and Public-private Partnership. The Public category generated the most income. Public ownership has captured the largest market share in India's waste management sector primarily due to historical reasons and government intervention. Many waste management services and facilities, such as landfills and waste collection systems, are owned and operated by municipal or state authorities. This dominance is also influenced by the lack of private sector participation in certain regions and the challenges associated with obtaining permits and approvals for private waste management projects. Thus, public ownership continues to dominate the market landscape.

Figure 1: India Waste Management Market, by Type of Ownership, 2023 & 2032 (USD Billion)



Industry Overview

Waste Management Country Insights

India waste management market is characterized by rapid urbanization, industrialization, and government initiatives like the Swachh Bharat Abhiyan. Municipal Solid Waste (MSW) and industrial waste are the primary waste streams, driving demand for efficient disposal solutions. Landfilling remains dominant due to cost-effectiveness, but incineration is growing, spurred by technological advancements and environmental concerns. Public ownership prevails in waste management infrastructure, yet private sector involvement is increasing, driven by government policies and demand for innovation. Challenges include inadequate infrastructure, limited recycling rates, and regulatory compliance. However, opportunities abound for investment in advanced technologies, public-private partnerships, and sustainable waste management practices to address the nation's mounting waste challenges.

Waste Management Key Market Players & Competitive Insights Leading players are focusing on strategic initiatives to capitalize on growth opportunities. Key activities include expanding service offerings, investing in advanced technologies for waste treatment and recycling, and forming partnerships with government bodies and municipalities to secure contracts for waste management projects. Additionally, companies are prioritizing sustainability efforts, such as promoting circular economy practices and reducing carbon emissions. Overall, these actions aim to strengthen market developments, enhance operational efficiency, and address evolving customer needs in India waste management market.

Major players in the Waste Management market are attempting to increase market demand by investing in research and development operations includes Ramky Enviro Engineers Ltd, Antony Waste Handling Cell Ltd, Eco Wise Waste Management Pvt Ltd, Attero Recycling Pvt Ltd, Clean India Ventures Pvt Ltd, Nepra Resource Management Pvt Ltd, Sembcorp Industries, Bharat Heavy Electricals Limited, Infinitus Environmental Solutions Pvt Ltd and Swachh Enviro Pvt Ltd.

Waste Management Industry Developments

August 2023: The Brihanmumbai Municipal Corporation (BMC) studied the highly effective 'Indore model' of waste management to improve solid waste management (SWM) in Mumbai. This strategy has played a key role in Indore, often referred to as the 'Mini Mumbai' of Madhya Pradesh, retaining its status as the cleanest city in India for six consecutive years.

March 2023: Bharat Petroleum Corporation Limited (BPCL), recognized as a 'Maharatna' and listed in the Fortune Global 500, launched a unique program called "Sound Management of Waste Disposal (SMWD)" as part of their sustainability efforts. This initiative is centered on minimizing and repurposing electronic waste. BPCL's goal is to achieve zero-waste-to-landfill accreditation at all operational refineries and marketing sites by the year 2025.

Historical Financials

Overview of Historical Financial Statements

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Historical Financials – Balance Sheet

INR in Million

Particulars	Mar-21 (Audited)	Mar-22(Audited)	Mar-23(Audited)	Mar-24(Audited)	31.10.2024 (Prov)
Shareholder's Fund					
Share Capital	0.10	0.10	0.10	0.11	0.11
Retained Earnings	2.00	14.05	62.28	105.91	300.80
Total Shareholder's Fund	**2.10**	**14.15**	**62.39**	**106.02**	**300.91**
Non-Current Liability					
Long-Term Debt	5.16	6.93	14.79	34.11	44.41
Deferred Tax Liability	-	-	-	0.66	-
Total Non-Current Liabilities	**5.16**	**6.93**	**14.79**	**34.77**	**44.41**
Current Liabilities					
Short-term borrowings	3.31	10.44	20.00	78.55	102.85
Trade Payables	9.55	8.76	8.93	10.77	14.22
Other Current Liabilities	0.34	0.70	4.17	13.99	9.76
Short-term provisions	0.53	1.33	3.71	8.03	19.10
Total Current Liabilities	**13.72**	**21.23**	**36.80**	**111.33**	**145.92**
Total	**20.99**	**42.31**	**113.98**	**252.12**	**491.24**
Non- Current Assets					
Property, Plant and Equipment - Tangible Assets	0.73	1.45	16.76	41.15	47.08
Intangible Assets	0.01	0.00	0.02	0.01	-
CWIP	-	-	1.10	-	-
Non-Current Investment	3.59	5.62	8.17	11.39	3.31
Deferred Tax Assets	0.06	0.10	0.04	-	-
Total Non-Current Assets	**4.39**	**7.17**	**26.10**	**52.55**	**50.39**
Current Assets					
Trade receivables	4.59	14.46	54.16	139.72	263.83
Cash and cash equivalents	4.76	4.70	0.50	0.69	23.06
Inventories	-	-	0.52	3.02	3.03
Other current assets	7.26	15.98	32.70	56.15	150.94
Total Current Assets	**16.60**	**35.13**	**87.89**	**199.57**	**440.86**
Total	**20.99**	**42.31**	**113.98**	**252.12**	**491.24**

Historical Financials – Income Statement

INR in Million

Particulars	Mar-21(Audited)	Mar-22(Audited)	Mar-23(Audited)	Mar-24(Audited)	31.10.2024(Prov)
Revenue from Operations	**45.79**	**99.89**	**204.75**	**328.80**	**273.04**
Expenditure					
Operating Cost	0.31	0.82	4.30	6.49	3.61
Employee Cost	17.87	34.89	57.72	97.96	47.10
Other Expenses	25.08	47.09	100.33	162.05	177.03
Total Expenses	**43.26**	**82.81**	**162.35**	**266.50**	**227.04**
Operation	**2.53**	**17.08**	**42.40**	**62.30**	**45.30**
EBIDTA					
	0.28	0.61	2.82	12.16	6.17
Depreciation & Amortisation Expense	0.40	1.92	7.41	10.97	7.42
Finance Cost	0.09	0.39	0.69	3.18	0.05
Other Income					
Profit Before Tax	**1.94**	**14.95**	**32.86**	**42.35**	**31.76**
Tax Expenses					
Current Tax Expense	0.58	2.95	11.23	12.05	9.25
Deferred Tax	-	(0.04)	(0.06)		
Profit/(Loss) for the period	**1.36**	**12.04**	**21.57**	**30.30**	**22.51**

Projected Financials

Overview of Projected Financial Statement

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Projected Financials – Balance Sheet

A summary of Projected Balance Sheet of WLPL as on next Five Years is given below:

INR in Million

Particulars	Mar-25	Mar-26	Mar-27	Mar-28	Mar-29
Shareholder's Fund					
Share Capital	0.11	0.11	0.11	0.11	0.11
Retained Earnings	341.75	524.97	867.80	1,497.83	2,578.66
Total Shareholder's Fund	**341.86**	**525.08**	**867.91**	**1,497.94**	**2,578.77**
Non-Current Liability					
Long-Term Debt	44.74	44.74	44.74	44.74	44.74
Deferred tax Liabilities	-	-	-	-	-
Total Non-Current Liabilities	**44.74**	**44.74**	**44.74**	**44.74**	**44.74**
Current Liabilities					
Short-term borrowings	102.85	102.85	102.85	102.85	102.85
Trade Payables	48.59	78.37	141.06	304.69	518.22
Other Current Liabilities	15.62	28.89	52.01	93.61	159.22
Short-term provisions	12.49	23.11	41.61	74.89	127.37
Total Current Liabilities	**179.55**	**233.22**	**337.52**	**576.04**	**907.66**
Total	**566.16**	**803.04**	**1,250.17**	**2,118.73**	**3,531.18**
Non- Current Assets					
Property, Plant and Equipment - Tangible Assets	52.96	90.70	159.47	283.95	493.35
Intangible Assets	-	-	-	-	-
Non-Current Investment	3.25	3.25	3.25	3.25	3.25
Deferred Tax Assets	-	-	-	-	-
Total Non-Current Assets	**56.21**	**93.95**	**162.72**	**287.20**	**496.60**
Current Assets					
Trade receivables	171.15	253.31	284.97	512.95	872.42
Cash and cash equivalents	241.66	276.09	479.03	736.39	1,171.95
Inventories	3.42	6.33	11.40	20.52	34.90
Other current assets	93.71	173.36	312.04	561.68	955.30
Total Current Assets	**509.95**	**709.09**	**1,087.45**	**1,831.53**	**3,034.57**
Total	**566.16**	**803.04**	**1,250.17**	**2,118.73**	**3,531.18**

Projected Financials – Income

A summary of Projected Profit and Loss Statement of WLPL as on Next Five Years is given below:

INR in Million

Particulars	March 25(5 month)	March 26	March 27	March 28	March 29
Revenue from Operations	**351.67**	**1,155.72**	**2,080.29**	**3,744.53**	**6,368.70**
Expenditure					
Operating Cost	5.28	17.34	31.20	56.17	95.53
Employee Cost	89.68	294.71	530.47	954.85	1,624.02
Other Expenses	168.80	554.74	998.54	1,797.37	3,056.97
Total Expenses	**263.75**	**866.79**	**1,560.22**	**2,808.40**	**4,776.52**
Operation EBIDTA	**867.92**	**288.93**	**520.07**	**936.13**	**1,592.17**
Depreciation & Amortisation Expense	11.70	20.04	35.24	62.75	109.03
Financial Cost	21.95	21.95	21.95	21.95	21.95
Other Income	3.52	11.56	20.80	37.45	63.69
Profit Before Tax	**57.78**	**258.49**	**483.68**	**888.87**	**1,524.88**
Tax Expenses					
Current Tax Expense	16.82	75.27	140.85	258.84	444.04
Deferred Tax	-	-	-	-	-
Profit/(Loss) for the period	**40.95**	**183.22**	**342.83**	**630.03**	**1,080.83**

Valuation Methodology

General Valuation Approaches

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Valuation approaches and principal assumptions

The objective of the valuation process is to make a reasonable judgment of the value of the Company. The best reasonable judgment of the value can be referred as the “Fair Value”.

As per ICAI Valuation Standards 103:
There are number of methods & techniques used generally for valuation, however these methodologies fall under three basic approaches to valuation:

- ✦ The Cost Approach
- ✦ The Income Approach
- ✦ The Market Approach

Cost Approach

- Replacement Cost Method
- Reproduction Cost Method

Income Approach

- Discounted Cash Flow Method

Market Approach

- Market Price
- Comparable companies multiples
- Comparable transaction method

Cost Approach

Cost Approach is a valuation approach that reflects the amount that would be required currently to replace the service capacity of an asset (often referred to as current replacement cost). In certain situations, historical cost of the asset may be considered by the valuer where it has been prescribed by the applicable regulation.

This approach tends to determine the business value on the basis of value of assets of the business. It is specifically useful for asset intensive firms, valuing holding companies as well as distressed entities that are not worth more than their overall net tangible value. The cost approach is based on the inherent assumption that the value of a business or investment can be determined based on the cost to rebuild or replace the business.

Commonly used valuation methods under the Cost approach are

Replacement Cost Method: Replacement Cost Method involves valuing an asset based on the cost that a market participant shall have to incur to recreate an asset with substantially the same utility (comparable utility) as that of the asset to be valued, adjusted for obsolescence.

Reproduction Cost Method.

Reproduction Cost Method involves valuing an asset based on the cost that a market participant shall have to incur to recreate a replica of the asset to be valued, adjusted for obsolescence.

Income Approach

The Income based approach of valuations are based on the premise that the current value of any business is a function of the future value that an investor can expect to receive from purchasing all or part of the business. It is generally used for valuing businesses that are expected to continue operating for the foreseeable future.

Discounted Cash Flow

The Discounted Cash Flow ("DCF") method, an application of the Income Approach is arguably one of the most recognized tools to determine the value of a business.

The Discounted Cash Flow method indicates the Fair Value of a business based on the value of cash flows that the business is expected to generate in future. This method involves the estimation of post-tax cash flows for the projected period, after taking into account the business's requirement of reinvestment in terms of capital expenditure and incremental working capital. These cash flows are then discounted at a cost of capital that reflects the risks of the business and the capital structure of the entity.

The following are the major steps in deriving a value using the DCF method:

- Analyses the historical performance of the business
- Determine what you are valuing
- Develop financials projections based on underlying assumptions
- Calculate post tax 'free cash flows' for the projection period – FCFF or FCFE
- Calculate the discount factor - WACC or Cost of Equity
- Discount free cash flows by the appropriate factor. Sum of the discounted free cash flows during the projection period is termed as the 'primary value'
- Estimate the terminal growth rate and calculate the terminal value
- Add the primary and terminal values to arrive at the 'Enterprise' or 'Equity' value
- Deduction of net debt from enterprise value results in equity value

Market Approach

In Market Approach value is determined by comparing the subject company or assets with its peers in the same industry of the same size and region. Most Valuations in stock markets are market based and it is based on the premise of efficient markets and supply & demand.

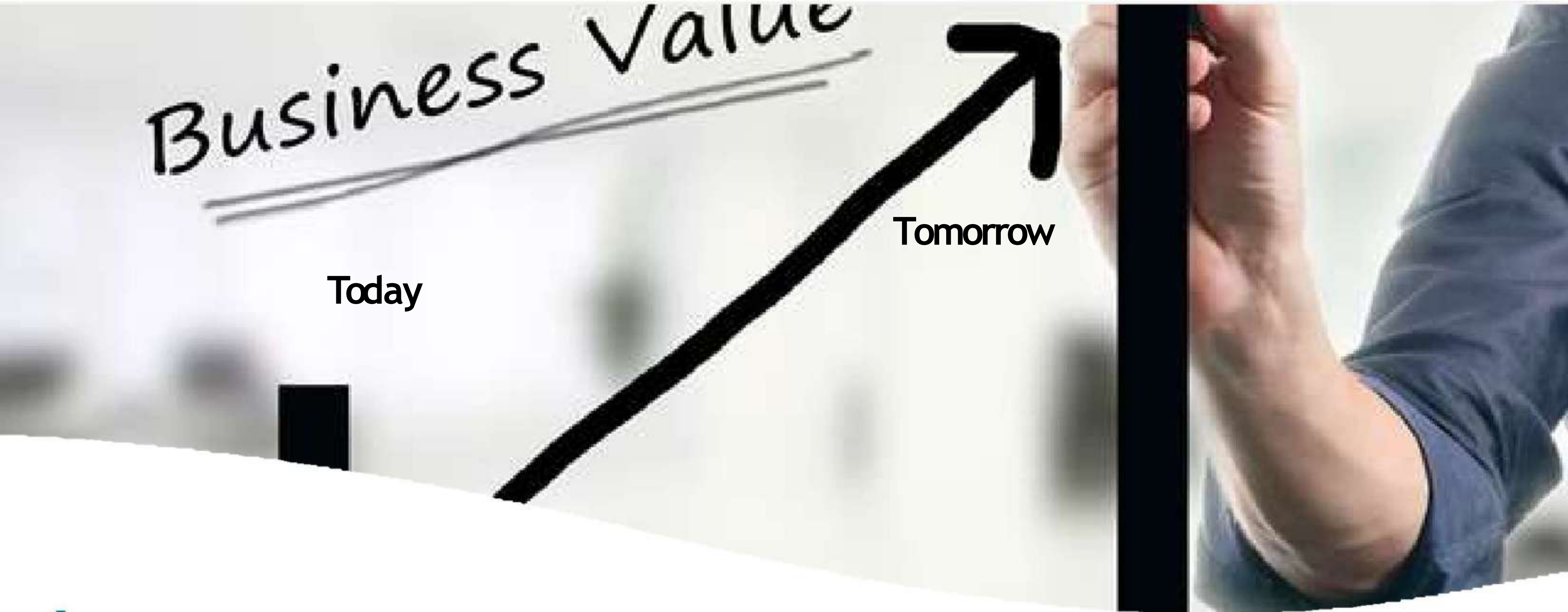
Market approach, also referred to as relative approach, is a valuation approach that uses prices and other relevant information generated by market transactions involving identical or comparable (i.e., similar) assets, liabilities or a group of assets and liabilities, such as a business. This is also known as relative valuation approach.

Market Price Method : In Market Price method, a valuer considers the traded price observed over a reasonable period while valuing assets which are traded in the active market. A valuer also considers the market where the trading volume of asset is the highest when such asset is traded in more than one active market. Further the valuer should consider using weighted average or volume weighted average to reduce the impact of volatility or any one-time event in the asset.

Comparable Companies Multiple (CCM) Method : CCM Method involves valuing an asset based on market multiples derived from prices of market comparable traded on active market and is also known as Guideline Public Company Method. A comparable company/assets selection is based on various factors including operational processes, cash flows, growth potential and risk similar to the company being valued.

Comparable Transaction Multiple (CTM) Method: Comparable Transaction Multiple Method, also known as 'Guideline Transaction Method' involves valuing a business based on transaction multiples derived from prices paid in transactions of asset to be valued /market comparable (comparable transactions).

This method is especially useful if there are limited comparable companies. Also, it incorporates the market sentiments in a better way, as the multiples, unlike trading company multiples which are affected by the inefficiencies of the market, are based on an informed negotiation between buyers and sellers.



Valuation of WLPL

What’s your business worth?

Valuation of WLPL– Income Approach

I have conducted a DCF valuation analysis for WLPL based on its management forecasted business plan. Long-term consolidated forecast FCF for the period from year ended 31st March 2025 to 31st March, 2029 were obtained from the Management Business Plan. I have discounted the FCF to present value using a Weightage Average Cost of Capital of 23.52%, which is the appropriate rate considering the timing and risk-level of the cash flows. Further, I have derived the Terminal Value to consider potential future growth of business beyond the explicit forecast period from year ended 31st March 2025 to 31st March, 2029. A terminal growth rate of 5% was assumed to reflect the growth beyond the Forecast Period.

Key inputs employed in my valuation exercise are presented below:

a) Estimation of Free Cash Flows to Firm:

Estimation of Net Free Cash Flows starts by estimating the cash generated through operations. Cash generated from operations is adjusted for the following:

i. Net increase & decrease in net working capital;

ii. Capital Expenditure (Capex)

iii. Depreciation

Summary of NFCF for the explicit period has been provided hereinafter in this report.

b) Estimation of Appropriate Discount Rate:

The net free cash flows are thereafter discounted with an appropriate discount rate. The discount rate represents the weighted average return attributable to all of the assets of business.

- Under discounted cash flows method, I have applied WACC to compute the present value of future cash flows to the company. Hence, I have considered WACC as my discount rate.
- I have considered a company specific risk premium of 10% to factor in the additional risks on account of risk pertaining to achievement of significant growth in revenues and PAT margins during the projection period.
- Cost of Equity (Ke) is computed at 24.34% using CAPM (Capital Assets Pricing Model) and Cost of Debt (Kd) is 6.96%. The detailed computation is provided in **Appendix-A**.

Valuation of WLPL– Income Approach

c) Estimation of present value of Net Free Cash Flows:

The present value of cash flows has been determined based on Net Free Cash Flows and the appropriate Discount Rate. I have assumed that the cash flows accrue to WLPL uniformly through the year, and have thus considered a mid-period discounting factor for this analysis.

The present value of net free cash flows for the explicit period is estimated at **INR 702.48 Million**.

d) Estimation of Terminal value:

The Company is being valued as a Going Concern and therefore, it is assumed that it will earn cash flows till Perpetuity. The value for the perpetual cash flows is estimated by capitalizing the future maintainable cash flows by an appropriate capitalization rate and then discounting it by an appropriate factor to determine the present value of perpetual cash flows.

I have estimated the Present Value of Terminal value at **INR 2,481.56 Million**.

Future maintainable cash flows:

The Adjusted Cash Flow for terminal year is INR 1,050.92 Million based on growth adjusted revenue. For estimating the Terminal Value, I have assumed a perpetuity growth rate of 5% in my terminal value calculations considering industry and macro economic factors. I have adjusted the Adjusted Cash Flows for Depreciation, Increase/ decrease in net working capital and Capital Expenditure. Based on the same the Present Value of Free Cash Flows are estimated at INR 459.52 Million. The same has been assumed as Future maintainable cash flows.

Appropriate Capitalization Rate:

The capitalization rate used to estimate the terminal value is generally based on the discount rate adjusted for expected long term Growth rate of the Business. The capitalization rate is therefore estimated at 18.52% (i.e. 23.52% - 5.00%).

Valuation of WLPL– Income Approach

Computation of Discounted Cash Flows: -

INR in Million

Particulars		March 25 (5 month)	Mar-26 (12 month)	Mar-27 (12 month)	Mar-28 (12 month)	Mar-29 (12 month)	Terminal
Revenue From Operations		351.67	1,155.72	2,080.29	3,744.53	6,365.70	6,683.98
Less: Operating Expenses		263.75	866.79	1,560.22	2,808.40	4,776.52	5,015.35
EBIDTA		**87.92**	**288.93**	**520.07**	**936.13**	**1,592.17**	**1,671.78**
Less: Depreciation		11.70	20.04	35.24	62.75	109.03	114.48
EBIT		**76.21**	**268.88**	**484.83**	**873.38**	**1,483.14**	**1,557.30**
Less: Tax Expenses		16.82	75.27	140.85	258.84	444.04	453.49
EBIT (1-t)		**59.39**	**193.61**	**343.98**	**614.54**	**1,039.10**	**1,103.81**
Add: Depreciation		11.70	20.04	35.24	62.75	109.03	114.48
Less: Incremental Net Working Capital		183.25	(111.04)	(71.12)	(248.21)	(435.86)	(52.89)
Less: Capex		(17.58)	(57.79)	(104.01)	(187.23)	(318.43)	(114.48)
Net Free Cash Flows		**236.76**	**44.83**	**204.10**	**241.86**	**393.83**	**1,050.92**
Present Value Factor	23.52%	0.96	0.82	0.67	0.54	0.44	0.44
		0.21	0.92	1.92	2.92	3.92	
Present Value of NFCF		**226.57**	**36.94**	**136.15**	**130.62**	**172.20**	**459.52**

Valuation of WLPL– Income Approach

e) Estimation of Fair value

After incorporating above explained inputs, I have concluded the Enterprise value of WLPL using DCF method at INR 2,108.53 Millions. The Company is an unlisted company and due to lack of marketability of shares of the company, I have taken the DLOM of 30% on the value of the Company due to the following reason that affect the value of the Company:

- The Company is a Startup company and the product of the company is in the Introduction phase. During the initial year the company has to incur huge expenses on R & D, Marketing and other capital and revenue expenses which resulted into unstable Cash flow.
- It is an unlisted company and there is lack of marketability of shares of the Company.

Further, I have also adjusted value for Cash & Cash Equivalents of Rs. 23.06, Non-Investment of Rs. 3.31 Million and Long term borrowings of INR 146.25 Millions, Interest liability of Convertible Note (CN) of INR 0.41 million respectively as on 31st October 2024 to arrive at the equity value.

INR in Million

Sum of Present Value of Explicit Period (A)	702.48
Perpetual Cash Flow	459.52
Capitalization Rate	18.52%
Perpetuity Value (B)	2,481.56
Total Unadjusted Value (A+B)	**3,184.04**
Less: DLOM	955.21
Total Unadjusted Value	**2,228.83**
Adjustments For:	
Add: Cash & Cash Equivalents	23.06
Add: Non Current Investment	3.31
Less: Long Term Borrowing/ Short term	-146.25
Less: Interest Liability	-0.41
Equity Value	**2,108.53**
Number of Equity Shares (in no.'s)	11,473
Total Diluted number of Equity share	**11,473**
Fair Value of Equity per share (INR)	**1,83,781.72**

Valuation Conclusion

My opinion on value of WLPL

WeVOIS

Valuation exercise - Conclusion

In the ultimate analysis, valuation will have to be finalized/arrived at by the exercise of judicious discretion and judgment taking into account all the relevant factors. There will always be several factors, e.g. quality and integrity of the management, present and prospective competition, yield or securities and market sentiment etc. which are not evident from the face of the balance sheets but which will strongly influence the worth of a share.

In concluding on my Valuation exercise, it may be noted that my premise is fair value for the purpose of this engagement. “Fair Value is defined as the price which a business might reasonably be expected to fetch, in money or money’s worth in an open market sale, between a willing buyer and a willing seller, both of whom are equally well informed about the business.”

For the purpose of arriving at fair value, I have given 100% weightage to DCF Method under Income Approach and **NIL** weightage to Market Approach and Cost Approach as it represents income generation ability of an entity which is critical element affecting the value of company.

Hence, the fair value of equity shares of WLPL works out as shown in the table below:

INR in Million

Particulars	Value	Weights	Weighted Value
Income Approach			
Discounted Cash Flow Method	2,108.53	100%	2,108.53
Equity Value			**2,108.53**
Total Diluted Equity Shareholder			11,473
Fair Value of Diluted Equity per share (in INR)			**1,83,781.72**

Based on the above computation, I have estimated the fair value of diluted equity shares of WLPL to be INR 2,108.53 Million, i.e. per share value of INR 1,83,781.72/-.

Valuation exercise - Conclusion

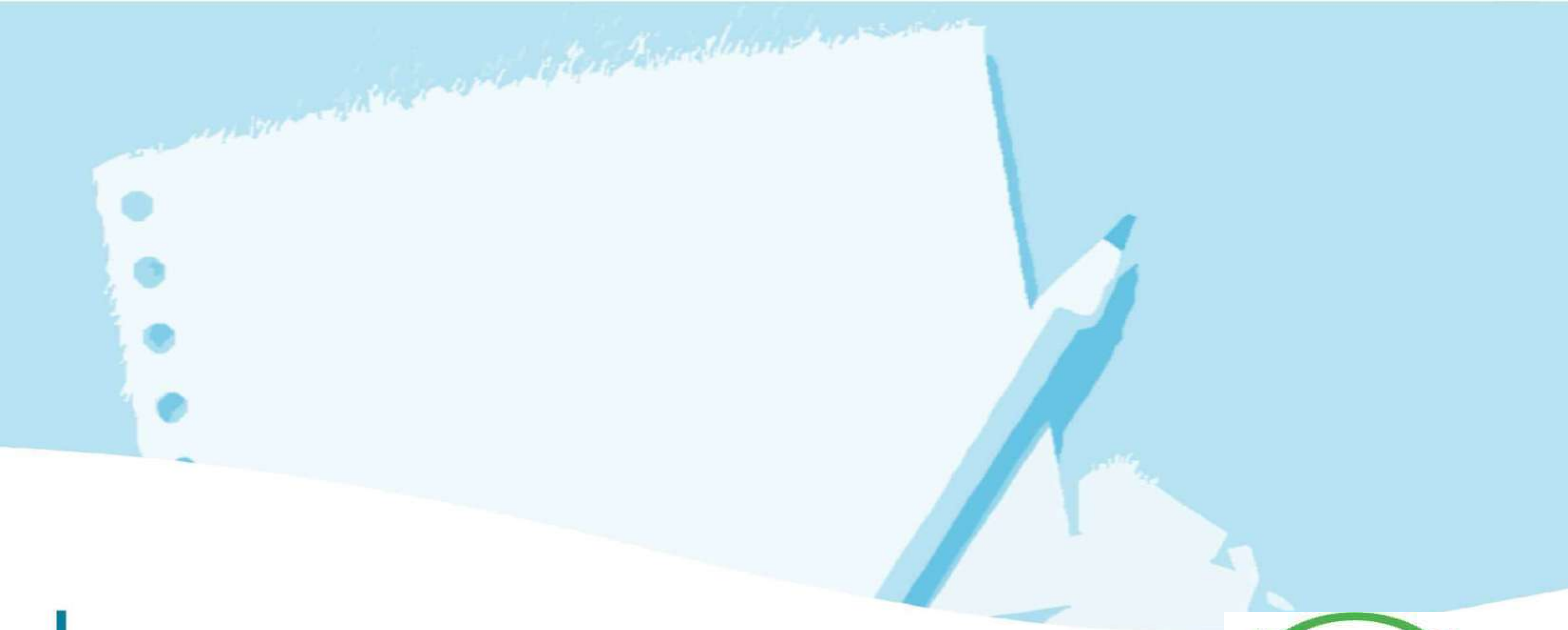
Sensitivity Analysis :

The exercise of valuation is not a precise science and the conclusions arrived at in many cases will be subjective and dependent on the exercise of individual judgment. While we have concluded on the reasonableness of the valuation of equity share based on the information available to us and within the scope and constraints of our engagement, others may have a different opinion as of the same.

Following Table shows Different Value of Equity may arriving due to Change in Discounting Rate and Terminal Growth of the company:

(INR in Million)

Discounting Rate % / Terminal Growth %	3%	4%	5%	6%	7%
21.52%	2,239.83	2,345.43	2,463.82	2,597.47	2,749.53
22.52%	2,081.11	2,172.89	2,275.15	2,389.79	2,519.21
23.52%	1,939.39	2,019.63	2,108.53	2,207.58	2,318.62
24.52%	1,812.25	1,882.76	1,960.50	2,046.63	2,142.59
25.52%	1,697.69	1,759.95	1,828.28	1,903.61	1,987.08



Appendices

Find out more

Appendix A: Discount Rate Computation

Discount Rate Computation

Particulars	Range	Remarks
Risk free rate (Rf)	6.81%	We have utilized Bond rates backed by the Indian Government, which reflect a minimal level of risk. In estimating a security's expected return, we typically seek a cost to be applied to cash flows projected for many years. The inflation premium incorporated into a security's normal return is the rate of inflation expected by the market over the life of the security. Thus, to estimate the normal return that is expected over a long-term period, we have used the 10-year generic government bond rate, which reflects the real interest rate at a point in time and the market's long-term inflation forecast. The yield to maturity on 10-year generic Government Bonds was 6.81% and therefore, same has been considered as the risk-free rate of return. (https://m.rbi.org.in//Scripts/BS_NSDPDisplay.aspx?param=4)
Equity risk premium (Rm-Rf)	7.32%	The opportunity cost to the capital provider equals the rate of return the capital provider expects to earn over and above the risk-free rate. We have taken the market risk premium at 7.32% of Indian market based on last 10-year market return S&P 500.
Re-levered Beta (β)	1.03	Beta provides a measure of the tendency of a security's return to move with the overall market's return. For example, a security with a beta of 1.0 tends to rise and fall by the same percentage as the market. Thus, "β=1" indicates an average level of systematic risk. Securities with a beta greater than 1.0 tend, on average to rise and fall by a greater percentage than the market. Likewise, a security with a beta less than 1.0 has a low level of systematic risk and is therefore less sensitive to changes in the market. Based on the analysis carried by Prof. Damodaran, Unlevered beta for the Environmental & Waste Services Industry is 0.99, Industrial D/E ratio is 4.97%. Effective tax rate is 29.12%. Therefore, Re-levered beta of the Company is 1.03.

Appendix A: Discount Rate Computation

Discount Rate Computation

Particulars	Range	Remarks
Company Specific Risk Premium (CSRP)	10%	The risk premium for unsystematic risk attributable to the subject company is designed to account for additional risk factors specific to the Company. This is a very subjective exercise and therefore views of two people may differ. However, this exercise gives an insight view about the specific risk of the subject company and accordingly makes an effort to estimate an additional return required by an investor for such risk. We have estimated 10% additional return required on account of company specific risk premium.
Cost of Equity	**24.34%**	**Ke = Rf + β * (Rm – Rf) + CSRP**
Cost of Debt (post tax)	6.96%	We have considered Average RBI lending rate for outstanding loan is 6.96% as cost of Debt. Therefore, cost of Debt (post tax) is 6.96%.
WACC	**23.52%**	We have taken Industrial weightage of capital structure i.e. 95.27% for equity and 4.73% for Debt. **WACC = (We * Ke) + (Wd * Kd)**
Growth rate	5%	Based on management discussion & Valuer judgement
Capitalisation rate	18.52%	

Appendix B : Caveat, limitation and disclaimer

1. All assets and liabilities have been taken at book values as per unaudited financial statements for the period ended on 31st October 2024.

   To the best of our knowledge and belief, the statements of facts contained in this document, upon which the analysis and conclusions expressed are based, are true and correct. Information, estimates and opinions furnished to us and contained in this document or utilized in the formation of the value conclusions were obtained from sources considered reliable and believed to be true and correct. However, no representation, liability or warranty for the accuracy of such items is assumed by or imposed on me, and is subject to corrections, errors, omissions and withdrawal without notice.

2. No change of any item in any of this document shall be made by anyone other than valuer, and we shall have no responsibility for any such unauthorized change.

3. The work papers for this engagement are being retained in our files and are available for your reference. we would be available to support our valuation conclusions should this be required.

4. Neither all nor any part of the contents of this document shall be disseminated or referred to public through advertising, public relations, news or sales media, or any other public means of communication or referenced in any publication, including any private or public offerings, without the prior written consent and approval of and review by valuer.

5. We take no responsibility for any events, conditions or circumstances affecting our opinion of value that take place subsequent to the valuation date.

6. Good and marketable title to the business interests and assets being appraised is assumed. we are not qualified to render an “opinion of title,” and no responsibility is assumed or accepted for matters of a legal nature affecting the business being appraised. No formal investigation of legal title to or liabilities against the business valued was made, and we render no opinion as to ownership of the business or condition of its title.

7. This valuation is based on financial statements as submitted by the Client. Some assumptions or projections inevitably will not materialize and unanticipated events and circumstances which may occur during the forecast period. These could include major changes in the economic conditions; significant increases or decreases in current interest rates and/or terms or availability of financing altogether; and/or major

Appendix B : Caveat, limitation and disclaimer

revisions in current state and/or federal tax or regulatory laws. Therefore, the actual results achieved during the projected period and investor requirements relative to anticipated annual returns and overall yields could vary from the projection. Thus, variations could be material and have an impact on the value conclusions stated herein.

8. Budgets/projections/forecasts relate to future events and are based on assumptions that may not remain valid for the whole of the relevant period. we express no opinion as to how closely the actual results will correspond to those projected/forecast by management.

9. We assume no responsibility and make no representations with respect to the accuracy or completeness of any information provided by and on behalf of management.

10. Our work with respect to prospective financial information did not constitute an examination, compilation, or agreed upon procedures engagement of a financial forecast in accordance with standards established by the Institute of Chartered Accountants of India, and we do not express assurance of any kind on it.

11. We are not required to give testimony or be in attendance at any court or administrative proceeding with reference to the business appraised unless additional compensation is agreed to and prior arrangements have been made.

12. Responsibility as Registered Valuer - We owe responsibility only to the Client Company that has appointed us under the terms of the engagement letter. We will not be liable for any losses, claims, damages or liabilities arising out of the actions taken, omissions or advice given by any other person arising out of this valuation report. In no event shall we be liable for any loss, damages, cost or expenses arising in any way from fraudulent acts, misrepresentations or willful default on part of the Client Company or their directors, employees or agents.

13. Value estimate - The Valuation of Company and assets is made based on the available facts and circumstances and the conclusions arrived will be subjective and dependent on the exercise of individual judgment. The Valuation of company and business is not a precise science and the conclusions arrived at in many cases will be subjective and dependent on the exercise of individual judgment.

14. No Responsibility to the Actual Price of the Subject Asset if Sold or Transferred/Exchanged - The actual market price achieved may be higher or lower than the estimate of value depending upon the circumstances of the transaction, the nature of the business. The knowledge, negotiating ability and motivation of the buyers and sellers. Accordingly, our valuation conclusion will not necessarily be the price at which actual transaction will take place.

Appendix B : Caveat, limitation and disclaimer

15. Reliance on the representations of the Client Company, their management and other third parties - The Client Company and its management/representatives warranted to us that the information they supplied was complete, accurate and true and correct to the best of their knowledge. We have relied upon the representations of the owner company, their management and other third parties concerning the financial and operational data. We shall not be liable for any loss, damages, cost or expenses arising from fraudulent acts, misrepresentations, or willful default on part of the Client Company, its directors, employees or agents.

16. No procedure performed to corroborate information taken from reliable external sources - We have relied on data from external sources to conclude the Valuation. These sources are believed to be reliable and therefore, we assume no liability for the truth or accuracy of any data, opinions or estimates furnished by others that have been used in this analysis. Where we have relied on data, opinions or estimates from external sources, reasonable care has been taken to ensure that such data has been correctly extracted from those sources and are reproduced in its proper form and context of Valuation Report.

17. Compliance with relevant laws - The Report assumes that the Company complies fully with relevant laws and regulations applicable in its area of operations and usage unless otherwise stated, and that the Company will be managed in a competent and responsible manner. Further, as specifically stated to the contrary, this Report has given no consideration to matters of a legal nature,including issues of legal title and compliance with local laws, and litigations and other contingent liabilities that are not recorded or reflected in the financial statements such as Financial Statements provided to me.

18. Multiple factors affecting the Valuation Report - The Valuation Report is tempered by the exercise of our judicious discretion, taking into account the relevant factors. There will always be several factors, e.g. management capability, present and prospective competition, yield on comparable securities, market sentiment, etc. which may not be apparent from the Financial Statements but could strongly influence the value.

19. Audited information as on valuation date - Fair Value of Share of the Company has been performed on the audited Financial Statements of Company provided by management. Financials as on the last available financial statements as the proxy for the financial position as of the Valuation date.

Appendix B : Caveat, limitation and disclaimer

20. Validity of permits and licenses: Unless otherwise stated as part of the terms of engagement, we have not made a specific compliance survey or analysis of the various permits and licenses under central, state and local laws / regulations applicable to the operation and use of the subject property, and this valuation does not consider the effect, if any, of non-compliance.

21. Continuation of subject business - We have assumed that the business continues normally without any disruptions due to statutory or other external/internal occurrences.

22. Independent Third Party - We have acted as an independent third party and, as such, shall not be considered an advocate for any concerned party for any dispute. The valuation has been carried out independently to assess the valuation services. We have no present or planned future interest in Company or any of its group companies and the fee for this report is not contingent upon outcome of the transaction. Our valuation should not be construed as investment advice; specifically, we do not express any opinion on the suitability or otherwise of entering into any transaction with Company.

23. Analysis and review carried out but have not carried out a due diligence or audit - In the course of the Valuation, we were provided with both written and verbal information. We have however, evaluated the information provided to us by the Company through broad inquiry, analysis and review but have not carried out a due diligence or audit of the information provided for the purpose of this engagement. The conclusions are based on the assumptions, forecasts and other information given by/on behalf of the Company. i. We are independent of the Client Company and have no current or expected interest in the Company or its assets. The fee paid for our services in no way influenced the results of our analysis. ii. Our report is meant for the purpose mentioned above and should not be used for any purpose other than the purpose mentioned therein. The Report should not be copied or reproduced without obtaining our prior written approval for any purpose other than the purpose for which it is prepared.

24. In Addition to above:
    i. While our work has involved an analysis of financial information and accounting records, our engagement does not include an audit in accordance with generally accepted auditing standards of the Company's existing business records. Accordingly, we assume no responsibility and make no representations with respect to the accuracy or completeness of any information provided by and on behalf of you and the Client Company. Our report is subject to the scope and limitations detailed hereinafter. As such the report is to be read in totality, and not in parts, in conjunction with the relevant documents referred to herein and in the context of the purpose for which it is made.

Appendix B : Caveat, limitation and disclaimer

ii. The valuation of companies and businesses is not a precise science and the conclusions arrived at in many cases will be subjective and dependent on the exercise of individual judgment. There is, therefore, no indisputable single value and we normally express our opinion on the value as falling within a likely range. However, as [the purpose] requires the expression of a single value, we have adopted a value at the mid-point of our valuation range. Whilst we consider our value/range of values to be both reasonable and defensible based on the information available to us, others may place a different value on the Company.

iii. The actual market price achieved may be higher or lower than our estimate of value depending upon the circumstances of the transaction (for example the competitive bidding environment), the nature of the business (for example the purchaser's perception of potential synergies). The knowledge, negotiating ability and motivation of the buyers and sellers and the applicability of a discount or premium for control will also affect actual market price achieved. Accordingly, our valuation conclusion will not necessarily be the price at which any agreement proceeds. The final transaction price is something on which the parties themselves have to agree. We also emphasize that our opinion is not the only factor that should be considered by the parties in agreeing the transaction price.

iv. An analysis of such nature is necessarily based on the prevailing stock market, financial, economic and other conditions in general and industry trends in particular as in effect on, and the information made available to us as of, the date hereof. Events occurring after the date hereof may affect this report and the assumptions used in preparing it, and we do not assume any obligation to update, revise or reaffirm this Report.

v. The ultimate analysis will have to be tempered by the exercise of judicious discretion by the valuer and judgment taking into account the relevant factors. There will always be several factors, e.g. management capability, present and prospective competition, yield on comparable securities, market sentiment, etc. which may not be apparent from the face of the Balance Sheet but could strongly influence the value.

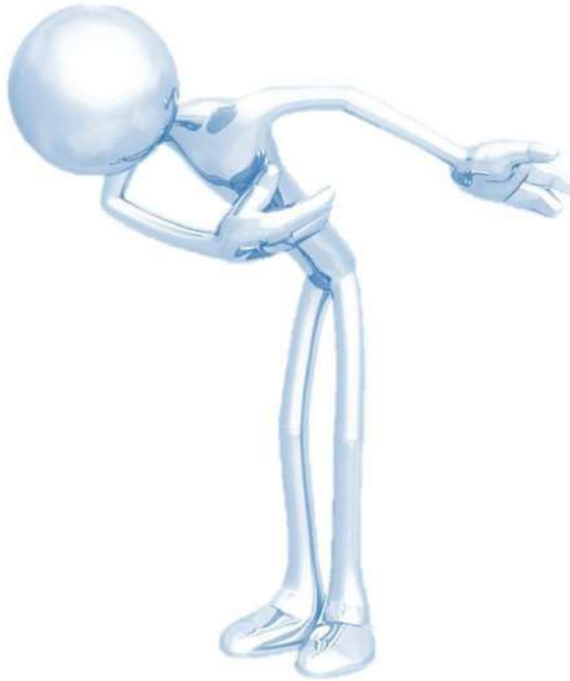
THANK YOU

Presented by:

Arvind Mohanlal Maheshwari

Registered Valuer of Securities or Financial Assets
Reg No – IBBI/RV/14/2024/15697

Address: Shop No.18, 1st Floor, Rashesh Apartment, Near Maxus Mall, Bhayander (W), Thane: 401101



To,

Board of Directors,

Wevois Labs Private Limited

293, Heera Nagar, Jaipur, Rajasthan 302021.

30th November, 2024

Dear Sir,

Sub: Estimation of fair value of diluted equity shares of Wevois Labs Private Limited for the purpose of issue of Equity Share of the Company.

The valuation measurement date for my valuation exercise is 31st October, 2024. The information required to form an opinion on fair value of equity shares of WLPL was collected from sources available on public domain in addition to the information provided by the Client.

I, Arvind Maheshwari, Registered Valuer, had been appointed by 'Wevois Labs Private Limited' (hereinafter referred to as 'Company') for Estimation of fair value of equity shares of the Company for the purpose of issue of Equity Share of the company in accordance with provision of Section 62 and 42 of the Company Act 2013.

In the attached report, I have summarized my valuation analysis of the shares together with the description of the methodologies used and limitations of my scope of work. The Valuation is not intended for general circulation or publication and is not to be reproduced without my prior written consent, or used for any purpose other than purpose stated herein this report and can not be relied upon by third parties. This report is to be read in totality, and not in parts, in conjunction with the relevant documents referred to therein.

I trust my report meets your requirements.

Arvind Mohanlal Maheshwari

A Maheshwari

IBBI Registered Valuer (SFA)
Reg No – IBBI/RV/14/2024/15697
UDIN : 24123043BKBONF7014